Equally disturbing – for the GDR at least – was by the summer of 1981, the situation was having a severe impact on relations with Moscow. During August, Honecker met Brezhnev in Crimea, where he shared illusory ideas about ceasing to take up loans from the USSR from 1982 and achieving a significant reduction of debt to the West by 1985. However, Honecker was stunned to hear Brezhnev reply that the GDR could not count on any Soviet loans to balance bilateral trade in the coming four years and that the agreed volume of oil deliveries – East Germany's most important raw material for its exports – 'was in doubt'. The full extent of that revelation arrived in an explosive letter on 27 August informing Honecker the USSR could no longer supply East Germany the agreed 19 million tons of petroleum per annum.18 Brezhnev lamented being forced to sell 'considerable amounts of oil and petroleum products to capitalist countries in order to obtain currency for the purchase of grain and foodstuffs which we cannot do without'. He also had to reckon with calamitous weather conditions, meaning the USSR would find itself with a food problem. 'The current year,' he added, 'is also unfavourable'19 and was exacerbated by a USEEC grain embargo imposed after the invasion of Afghanistan.20

Across the Eastern bloc, signs of malaise were rife: Poland was in default with her economy virtually owned by Western banks and guarantees from Western governments, while Romania was struggling from going belly up and stopped servicing debt.

After agonising over the proposed cuts, Honecker assured the Soviet leader he understood the decision was forced by 'extraordinary circumstances', but emphasised it directly affected the internal plans of the GDR, 'we would like to draw your attention, dear Leonid Ilyich, to the consequences that a reduction in the supply of energy sources from the USSR would have for our republic'.21 Furthermore, he asserted, if the GDR lost even a part of the supplies of Soviet energy sources, it would 'undermine the pillars of the existence of the German Democratic Republic'.

To back up his argument, Gerhard Schürer was dispatched to Moscow to push his views. During a meeting with Nikolai Baibakov, the chairman of Gosplan, the Soviet State Planning Committee, Schürer brought out the official SED economic plan and, putting it on the end of the conference